

Nordic Alert

17 August 2026

Markets resilient amid higher rates and geopolitical tensions

Global key stories

Record-high US stock markets. The fact that both the S&P 500 and Nasdaq closed marginally lower on Friday does not change the big picture: [the stock markets continue to impress](#). The warning signs surrounding the US consumer – [declining confidence in the future and weaker retail sales](#) – are so far weighing fairly lightly against stable and solid interim reports, a sustained technology and investment cycle and good productivity growth. At the same time, a solution to the Hormuz crisis appears increasingly complicated as the White House desperately tries to find ways out of the war and crisis; What deserves more attention, however, is the upward shift in interest rates. The rise in long-term interest rates is largely driven by structural factors rather than the immediate central bank cycle. The US 10-year yield rose 4 basis points on Friday to 4.68%. Japan's [growth slowdown in the second quarter](#) complicates the Bank of Japan's plans to possibly raise interest rates in September, partly to provide support for the yen. Brent crude is trading early on Monday at \$89 per barrel, up more than 5% over the past week. The US dollar continues to fall due to reduced expectations of a Fed hike in September. Stock markets in Asia – like US and European stock market futures – are starting the week cautiously.

"Massive Ukrainian attack on Russia." This weekend, [Ukraine and Russia have attacked each other](#). Russian authorities state that they have shot down several hundred Ukrainian drones, including in the Moscow region. Russian e-commerce giant Wildberries has once again been hit in a Ukrainian attack.

Pressured president raises tone against Iran – thoughts. The Hormuz crisis continues and negotiations are making little progress. Today, the deadline for [the Iran-US Memorandum of Understanding](#) from June 17 officially expires. At the same time, the signals from the White House are scattering, as so often. On Friday, Trump said – without giving any details – that after Iran is defeated, he intends to [declare the Strait of Hormuz as US territory](#). Iran reacted strongly. Later, the White House stated that Trump had only been joking. More substantial is Bessent's announcement on Thursday: The US Treasury Secretary said that [the US is now planning economic measures against Iran that are "unprecedented."](#) This could mean tougher measures against banks, companies and other actors that enable Iran's oil trade and financing. Beijing is thus in focus, but far-reaching measures against Chinese actors could at the same time [complicate the summit between Xi and Trump at the White House on September 24](#).

Nordic key stories

The time to ease off the accelerator. The fact that the Riksbank on Thursday is expected to [leave the policy rate at 1.75%](#) does not raise any eyebrows – the question is rather what Thedéen says about the autumn. Inflation dynamics are generally favourable and the Swedish economy still has untapped resources. But at the same time, we are entering the autumn with three upward inflation surprises in a row (May–July). The recovery also seems to rest on a more solid foundation, even if the risk picture is characterized by ["fat tails"](#). With a policy rate of 1.75%, monetary policy is likely to be somewhat expansionary if the neutral rate is close to 2.25%. In addition, many of the parliamentary parties' election promises signal a broad and consumption-oriented fiscal policy, rather than targeted redistributive policy measures. This risks complicating the necessary interaction between fiscal and monetary policy and may

increase inflationary pressures. We may be moving towards a situation where the Riksdag gives households with one hand and the Riksbank takes back with the other. The monetary policy equation is becoming increasingly complex.

Today's key events

For graphs and analysis of the week's most important data, click [here](#)

Time	Countries	Event	Period	SEB forecast	Consensus	Latest
08.00	Sweden	Inflation expectations: 1 year 2 years 5 years	Aug	1.7 2.1 2.1	-- -- --	1.8 2.1 2.1
08.00	Norway	Trade balance	Jul	--	--	NOK 61.9 month
14.30	US	Empire Index Manufacturing Industry	Aug	--	10	15.6
14.30	Canada	CPI Core CPI	Aug	-- --	3.0 --	2.8 1.8
16.00	US	Building index NAHB	Aug	--	33	34
22.00	US	Securities Trading with Foreign Countries TICs net long	Jun	-- --	-- --	USD 132.2 bn 232.7 bn

Other: AF releases **labour market statistics** (at 12.00). **Norway** and **the United States** sell **Treasury bills** (11.00/17.30). **ECB Lane** will give a speech (11.30). **South Korea's markets** are closed.

Have a great August Monday & Riksbank Week!

Market data

Equities	Index	Future	FX	Commodities
S&P 500	-0.2%	0.1%	EUR/USD 1.16	Brent fut \$/bl 88.5
Nasdaq comp	-0.3%	0.4%	EUR/SEK 11.01	Gold fut \$/oz 4394
Eurostoxx 50	-0.1%	0.3%	USD/SEK 9.50	Government bonds yields
OMX Stockholm 30	-0.2%		EUR/NOK 10.92	US 10 year 4.68%
OBX Oslo	0.9%		USD/NOK 9.42	US 2 year 4.15%
OMX Copenhagen 25	0.5%		NOK/SEK 1.01	Germany 10 year 3.20%
OMX Helsinki 25	0.0%		USD/DKK 6.45	Germany 2 year 2.72%
Nikkei225	0.3%		USD/JPY 159	Sweden 10 year 3.01%
Shanghai Comp	0.8%		USD/CNY 6.74	Sweden 2 year 2.42%

US and Europe indices indicate change at yesterday's close

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